plant, as opposed to modernizing the old plants at low cost.

• The company has tried to cut costs but still can't compete with foreign producers.

## WHEN TO SELL A FAST GROWER

Here, the trick is not to lose the potential tenbagger. On the other hand, if the company falls apart and the earnings shrink, then so will the p/e multiple that investors have bid up on the stock. This is a very expensive double whammy for the loyal shareholders.

The main thing to watch for is the end of the second phase of rapid growth, as explained earlier.

If The Gap has stopped building new stores, and the old stores are beginning to look shabby, and your children complain that The Gap doesn't carry acid-washed denim apparel, which is the current rage, then it's probably time to think about selling. If forty Wall Street analysts are giving the stock their highest recommendation, 60 percent of the shares are held by institutions, and three national magazines have fawned over the CEO, then it's definitely time to think about selling.

All the characteristics of the Stock You'd Avoid (see Chapter 9) are characteristics of the Stock You'd Want to Sell.

Unlike the cyclical where the p/e ratio gets smaller near the end, in a growth company the p/e usually gets bigger, and it may reach absurd and illogical dimensions. Remember Polaroid and Avon Products. P/e's of 50 for companies of their size? Any astute fourth-grader could have figured it was time to sell those. Was Avon going to sell a billion bottles of perfume? How could it, when every other housewife in America was an Avon representative?

You could have sold Holiday Inn when it hit 40 times earnings and been confident that the party was over there, and you were right. When you saw a Holiday Inn franchise every twenty miles along every major U.S. highway, and then you traveled to Gibraltar and saw a Holiday Inn at the base of the rock, it had to be time to worry. Where else could they expand? Mars?

Other signs:

• Same store sales are down 3 percent in the last quarter.

• New store results are disappointing.

• Two top executives and several key employees leave to join a rival firm.

• The company recently returned from a "dog and pony" show, telling an extremely positive story to institutional investors in twelve cities in two weeks.

• The stock is selling at a p/e of 30, while the most optimistic projections of earnings growth are 15–20 percent for the next two years.